

ASIA IN FOCUS

India: A More Favourable Balance of Payments Outlook

The INR's recent weakness appears larger than what balance of payments (BoP) fundamentals would suggest. Despite softer capital inflows, India posted a \$7.2bn BoP surplus in Q1 CY26, supported by stronger remittances, robust services exports and low oil imports. In our view, this reflects precautionary dollar demand amid heightened Middle-East uncertainty. Going forward, higher oil prices will likely widen India's current account deficit, but the deterioration is likely to be less severe than in past energy shock episodes.

India's oil intensity has declined steadily since 1990s, reflecting improved energy efficiency, rising transport electrification, and a shift toward less energy-intensive growth. Post-pandemic, oil import volumes also appear more price-sensitive, with volumes now declining more when oil rises above \$80/bbl. As a result, higher oil prices may not translate into a proportionate increase in India's oil import bill. Separately, policymakers have often used import duties and administrative curbs to contain gold imports during episodes of external stress. Historically, duty hikes have begun to weigh on gold import volumes with a 1-2 month lag, and we expect the same in this cycle.

A BoP surplus year, after two consecutive years of deficit: The RBI's comprehensive set of measures to incentivize dollar inflows, including concessional forex swap rates for banks and quasi-sovereigns to raise USD funding, together with exemptions on interest and capital gains tax on G-Sec for FPIs, should underpin capital inflow revival and support the INR. Meanwhile, incorporating our lower oil and gold import assumptions, and better-than-expected Q1 data we lower our current account deficit forecast to 1.3% of GDP in CY26 and 1.7% of GDP in FY27 from 2.0% of GDP and 2.1% of GDP earlier. With our estimate of \$60bn of additional capital inflows from the RBI's measures, we expect India to record a balance of payments surplus of around 0.6% of GDP in CY26 FY27 each.

Depreciation pressure on the INR should ease, but we don't see material appreciation: An improved balance of payments outlook should help lower depreciation pressures on the INR. While the currency appears broadly fairly valued on a trade-weighted basis, we expect any renewed dollar inflows to be largely absorbed by the RBI through reserve accumulation and unwind the short forward book, limiting the scope for significant appreciation.

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Reassessing the balance of payments outlook

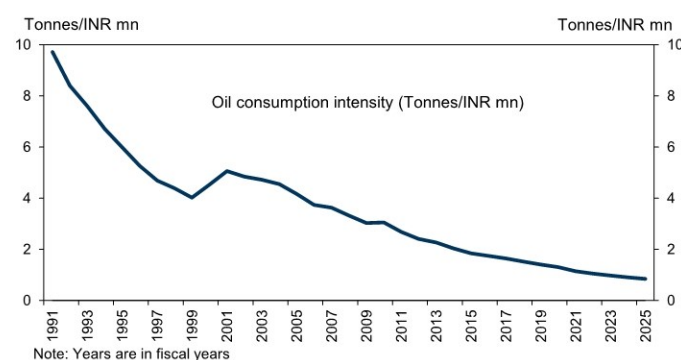
Recently, the INR has depreciated by more than India's external fundamentals would imply. Despite the energy shock and concerns around weaker capital inflows, India's balance of payments (BoP) posted a surplus of around \$7.2bn in Q1 CY26. The current account recorded a surplus of \$7bn, supported by record-high remittance inflows, a robust services trade surplus and a lower-than-expected oil import bill. In our view, the apparent divergence between the INR's weak performance and the strong underlying BoP position suggests that the recent pressure on the currency was driven more by precautionary and speculative demand for dollars amid heightened geopolitical uncertainty than by a deterioration in India's fundamental external position.

In this report, we reassess India's external balances. We examine how oil volumes may respond to higher prices, using evidence from oil intensity, historical demand elasticity, and fuel-price pass-through to domestic consumption. We further assess if gold imports could adjust lower, comparing recent import duty hikes to prior policy interventions. Finally, we evaluate the RBI's recent measures to incentivize dollar inflows, and update our overall balance of payments outlook.

Lower oil intensity may help mitigate the impact of higher oil prices

India's oil intensity has declined steadily over the past three decades, reflecting improvements in energy efficiency, greater electrification of transportation and a gradual shift towards less energy-intensive sources of growth (Exhibit 1). As a result, increase in oil prices is likely to have a smaller impact on economic activity than in previous oil shock episodes. Despite the Middle-East driven energy shock, and lower oil (volume) imports, economic activity was resilient in Q1, partly due to fiscal and quasi-fiscal absorption of higher oil prices, and partly due to inventory drawdown.

Exhibit 1: India's oil intensity has declined over the last three decades



Source: CEIC, Goldman Sachs Global Investment Research

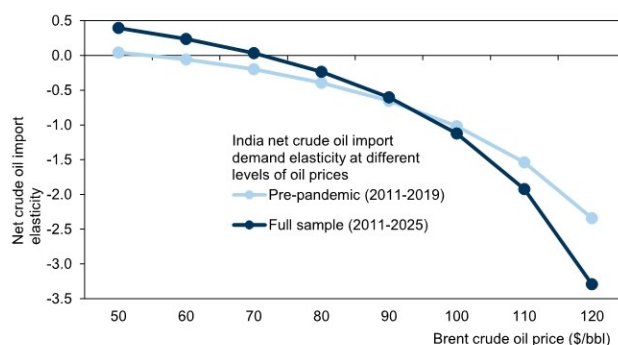
To assess the implications of a lower oil consumption intensity for the current account, we focus on net oil imports, in volume terms (crude oil imports plus petroleum product imports less petroleum product exports), which provides a better measure of India's underlying oil import requirement than crude oil imports alone. This is important, as a part of India's crude oil imports are processed and exported as refined petroleum products.

The relationship between Brent crude oil price and net crude oil import volumes appears

non-linear: volume imports generally rose as prices increased from low levels. Beyond a threshold (around \$75-\$80/bbl), however, price increases were associated with lower import volumes¹.

Including post-pandemic observations (excluding 2020 and 2021), the responsiveness of net crude import volume to changes in oil prices has increased across most price levels relative to the pre-pandemic period. The price threshold at which import volumes begin to decline has also moved higher to about \$75-80/bbl (from around \$60/bbl pre-pandemic), likely reflecting lower oil intensity and a greater economic capacity to absorb higher oil prices ([Exhibit 2](#)).

Exhibit 2: India's net crude oil import volumes have become more elastic (vs. the pre-pandemic period)

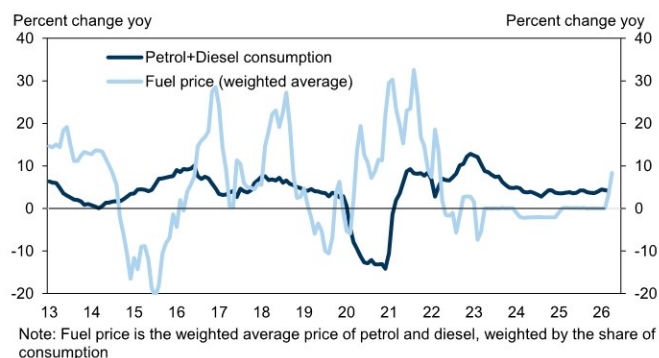


Source: CEIC, Goldman Sachs Global Investment Research

One channel through which higher oil prices can reduce import volumes is weaker domestic fuel demand, given the recent [fuel price hikes](#). As shown in [Exhibit 3](#), higher fuel prices have weighed on fuel consumption demand in the past. Depending on the duration of the energy shock, sustained higher oil prices may necessitate further fuel price hikes, weighing on consumption and, in turn, net oil import volumes. Based on our estimates, every 10% increase in fuel prices, lowers petrol and diesel consumption growth by around 3% on an average over the next 12 months.

¹ We note that higher exports of petroleum product volumes at higher crude oil prices may contribute to lower net oil import volumes as well

Exhibit 3: Domestic fuel price hikes likely to weigh on fuel consumption demand going forward



Source: CEIC, Goldman Sachs Global Investment Research

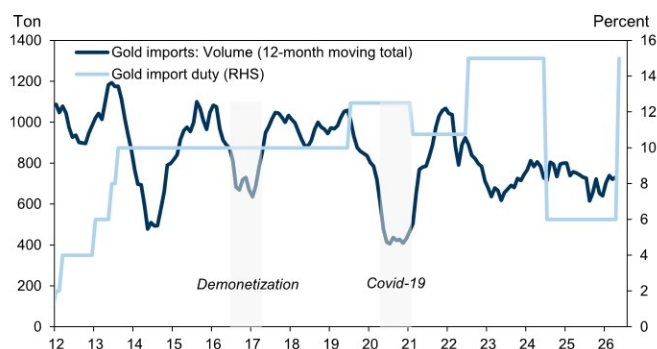
While higher oil prices mechanically lift India's oil import bill, but as discussed above import volumes are likely to respond more to a given level of oil price, given the lower oil consumption intensity. With Brent crude oil prices averaging around \$90/bbl in CY26 (vs. about \$70/bbl pre-conflict), our estimates imply a 10% price rise is associated with around a 6% decline in net import volumes. Alongside lower oil intensity and fuel-price pass-through weighing on demand, softer volumes should partly offset the trade-balance hit from higher prices.

Gold import duties likely to curb gold imports

Historically, gold imports have remained elevated during periods of external stress, reflecting gold's role as a store of value during episodes of financial market volatility and geopolitical tensions. Gold imports averaged 1% to 3% of GDP during previous stress episodes. Gold imports are tracking at around 2.2% of GDP in 2026 Q1, levels comparable to those observed during some of India's previous external stress episodes.

Given the share of gold imports in India's trade deficit, policymakers have historically relied on import duties to curb imports (*See Appendix*). As shown in [Exhibit 4](#), higher import duties were typically followed by a decline in gold import volumes. The impact typically started to materialize 1-2 months after the import duty hike, with the full effect unfolding over 5-6 months (~40-50% decline). Other policy and regulatory measures also weighed on gold imports. For instance, gold imports declined sharply in 2016-17 following demonetization, which disrupted cash-intensive jewellery purchases and temporarily weakened retail demand.

Exhibit 4: Gold import volumes typically weaken within 1-2 months of duty hikes, with the full impact materializing over 5-6 months



Source: CEIC, Goldman Sachs Global Investment Research

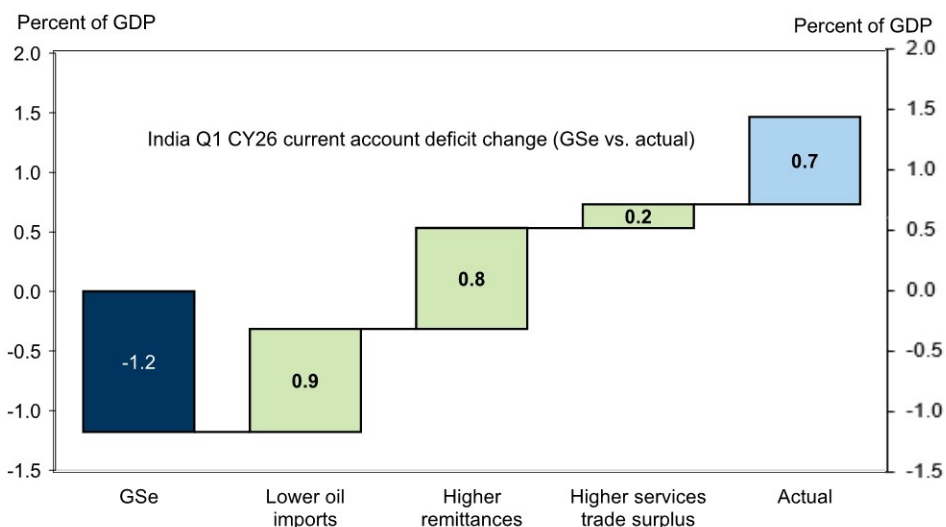
Recent [media reports](#) suggest that the May 2026 import duty hike has started to weigh on gold imports and retail demand. However, elevated geopolitical uncertainty and record-high gold prices suggest that any adjustment in gold imports may prove temporary, particularly as jewellery demand typically strengthens during the wedding season (November-February). Moreover, while higher duties may help moderate official gold imports in the near term, they could potentially increase unofficial [gold imports](#).

Reassessing India's current account balance

India posted a current account surplus of \$7.0bn in Q1 CY26 (vs. our expectation of a deficit), mainly driven by a) lower-than-expected oil import bill, b) higher remittance receipts, and c) higher services trade surplus.

First, the oil import bill declined significantly in March — despite higher Brent crude oil prices — reflecting lower oil import volumes (~15% yoy) amidst supply disruptions from the Strait of Hormuz due to the Middle-East conflict. Second, remittance receipts rose to a record high of \$41bn in Q1 (4% of GDP), likely reflecting precautionary transfers by non-resident Indians due to the Middle-East conflict, contrary to our expectations of a slowdown amidst the Middle-East conflict. Third, services exports remained strong, led by robust software and business services exports ([Exhibit 5](#)).

Exhibit 5: Current account balance came in at a surplus (vs. our expectation of a deficit) mainly on lower oil imports and higher remittance receipts



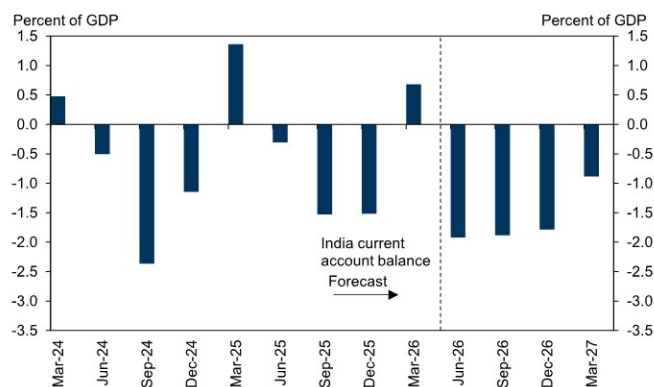
Source: RBI, Goldman Sachs Global Investment Research

Given the better-than-expected current account balance, we reassess our outlook on the current account deficit for CY26, incorporating the Q1 print and the implications of the above analysis into our forecasts.

- **Oil:** First, incorporating the lower-than-expected oil import bill in Q1, and a softer outlook for oil demand, we revise down our CY26 oil import forecast to \$220bn (5.6% of GDP) (vs. \$244bn earlier, 6.3% of GDP). Our revised forecast assumes around 2% lower oil import volume growth, reflecting increased sensitivity of oil demand to higher prices, the IEA's estimate of weaker oil demand growth in India since the onset of the conflict, and the recent moderation in petrol and diesel consumption following domestic fuel price hikes.
- **Gold:** Second, historically, gold import duty hikes have been followed by a decline in import volumes, with a 1-2 month lag. Given the recent increase in import duties and the early signs of moderation in imports, we revise down our CY26 gold import forecast to \$56bn (1.4% of GDP), from \$64bn (1.6% of GDP) earlier.
- **Remittances:** Third, we nudge up our CY26 remittance forecast to US\$136bn (vs. \$134bn earlier), reflecting the stronger-than-expected inflows in Q1. While precautionary transfers amid heightened uncertainty in the Gulf likely boosted remittance inflows in the first quarter, we assume a moderation in inflows over Q2-Q4, consistent with slower growth across GCC economies.

Taken together, we revise our current account deficit forecast for CY26 to \$46bn (1.3% of GDP), vs. \$78bn (2.0% of GDP earlier), while our FY27 forecast is lowered by 0.4pp to 1.7% of GDP (Exhibit 6).

Exhibit 6: We expect current account deficit to average around 1.3% of GDP in CY26 and 1.7% of GDP in FY27



Source: Goldman Sachs Global Investment Research

We introduce our 2027 forecasts for the current account deficit here as well.

Incorporating our commodities team, [new brent crude oil price path](#) (\$80/bbl average), we expect current account deficit to remain at around 1.1% of GDP, underpinned by strong services exports and remittance receipts (*Please see Appendix*).

Revisiting our capital flow assumptions

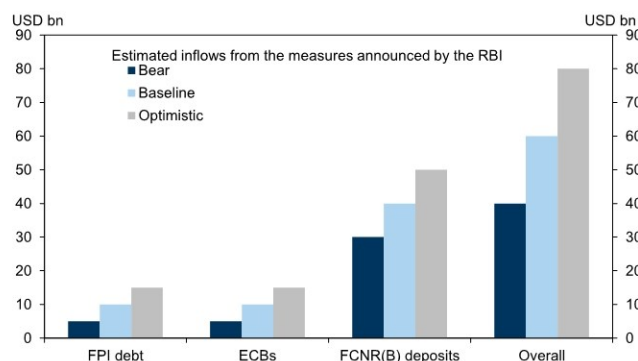
In line with our [earlier research](#), the RBI, in coordination with the Government, announced a set of measures to attract foreign capital inflows, including [concessional forex swap rate for quasi-sovereign companies](#) and authorized dealer banks to raise USD funding through December 31, 2026, and full hedging support for fresh 3-5 year [foreign currency deposits by banks](#) through September 30, 2026. It also expanded the Fully Accessible Route (FAR)-eligible universe to include all new 15-year, 30-year, and 40-year G-Sec issuances and restored the export-proceeds realization period to nine months from 15-months earlier. We incorporate these measures into our capital account forecasts and reassess our balance of payments outlook for CY26 and CY27.

- **Foreign currency non-resident deposit (FCNR (B)) scheme:** The RBI announced the FCNR (B) scheme with a similar framework used during 2013. The RBI will provide a full hedging support for fresh 3-5 year deposits through September 30, 2026 (*Please see Appendix for details*). We estimate around \$30-50bn of inflows from this scheme in CY26, all of which we expect to materialize by Q3. Some state and private sector banks have [already raised](#) the FCNR (B) deposit rates by around 2-4%.
- **External commercial borrowings (ECBs):** The RBI announced a concessional forex swap rate of 1.5% (vs. the market prevailing rate of around 3%) for quasi sovereigns to raise USD funding through December 31, 2026—reducing hedging costs and improving the economics of offshore funding relative to domestic borrowing. We estimate that ECB-related inflows could amount to around \$5-15bn over the next six months.
- **Foreign investment in government securities (G-Sec):** The RBI has expanded the Fully Accessible Route (FAR) to include 15Y/30Y/40Y G-Secs, and the government has exempted foreign investors from tax on interest income and capital gains on G-Secs. Together, these steps improve the post-tax, hedged return profile of India's

10-year government bond, which should support FPI debt inflows. We estimate incremental G-Sec inflows of around \$10bn over the next 6-12 months (*Please see Appendix for details*)²

Overall, we estimate around \$60bn of inflows from the various measures announced by the RBI to incentivize dollar flows in CY26 ([Exhibit 7](#)).

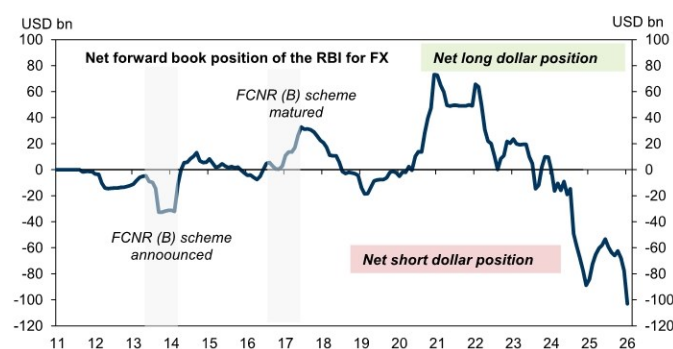
Exhibit 7: Overall, we estimate around \$40-80bn of inflows from the various measures announced by the RBI, with our baseline of around \$60bn in CY26



Source: Goldman Sachs Global Investment Research

A common feature of both ECB and FCNR(B)-related inflows is that the associated foreign currency exposure will be absorbed by the RBI. As a result, the dollar inflows would be reflected in a higher net short forward FX position of the RBI (~103bn in March 2026), as was the case when the FCNR (B) scheme was announced in 2013 ([Exhibit 8](#)), with the effect reversing as deposits mature or the borrowings are repaid.

Exhibit 8: The FCNR (B) scheme and the concessional swap facility for offshore borrowings by quasi-sovereigns will result in further increase in the RBI's net short dollar forward book



Source: RBI, Goldman Sachs Global Investment Research

Beyond debt-related inflows, the government also increased limits applicable to foreign portfolio investors in [Indian equities](#). However, unlike ECB and FCNR(B) flows, which are

² The withholding tax for foreign investors on debt securities for [Indonesia](#), [Philippines](#), [Malaysia](#), [Thailand](#) and [China](#) are around 10%, 25%, 0%, 15% and 0% respectively

directly incentivized by the recent measures, we believe the outlook for equity inflows will continue to be driven primarily by relative valuation premiums, and earnings expectations.

Why have foreign equity flows remained subdued in recent years?

Foreign portfolio equity flows have remained weak, with net outflows of around \$20bn over the past two years and further ~\$29bn, year-to-date in CY26. While, the announcement of the India-US trade deal in February 2026 resulted in a brief recovery in inflows, the onset of the Middle-East conflict reversed all the recovery. In our view, fundamentally this reflects India's elevated valuation premium, weaker earnings momentum, and a depreciating INR lowering dollar returns for foreign investors. Overall, we expect foreign equity inflows to remain subdued in CY26, with our equity strategists expecting around \$25bn of net outflows.

This along with the revision to our current account balance forecasts, we expect India to record a balance of payments surplus of around 0.6% of GDP in CY26 and FY27 each.

FX view

In our view the INR has likely depreciated by more than what underlying balance of payments fundamentals would imply. India recorded a balance of payments surplus of \$7bn, despite weaker capital flows suggesting that recent pressure on the currency was likely driven more by precautionary and speculative demand for dollars amid heightened geopolitical uncertainty than by a deterioration in external fundamentals. Going forward, our revised forecasts imply a smaller current account deficit, while the RBI's recent measures to incentivize FCNR(B), ECB and portfolio debt inflows should underpin capital inflows. Taken together, we now expect the balance of payments to remain in surplus at around 0.6% of GDP in CY26 (0.6% of GDP in FY27), after two consecutive years of deficit, which should help limit further depreciation pressures on the INR. From a valuation perspective, the INR appears fairly valued on a trade-weighted basis, according to FX strategists. While it remains somewhat expensive relative to the CNY, it screens as relatively cheap versus several higher-carry EM currencies. That said, we do not expect a significant appreciation in the INR, as renewed dollar inflows are likely to be absorbed by the RBI through reserve accumulation and rebuilding of its FX buffers, including unwinding a significantly large short forward book (~103bn as of March 2026).

Appendix

A1. Past regulation measures to curb gold imports

Import duty: Prior to 2012, gold imports were subject to a fixed customs duty of INR 300 per 10 grams, equivalent to roughly 1% of the prevailing gold price. Faced with a widening current account deficit, the government raised import duties in multiple stages—from 2% in January 2012 to 4% in March 2012. In 2013, the government hiked import duties thrice to 10% by August 2013 during the taper tantrum episode to contain the current account deficit. These duty increases were accompanied by a series of quantitative restrictions aimed at reducing gold imports and supporting the external balance.

Quantitative restriction: The most notable measure was the 80:20 scheme, introduced in 2013, under which importers were required to re-export at least 20% of imported gold before being permitted to

undertake additional imports. The government also restricted imports by nominated agencies and tightened import procedures. Together, these measures contributed to a sharp decline in official gold imports and helped narrow the current account deficit during the taper tantrum episode.

However, the measure were also criticized for distorting the domestic gold market, creating shortages for jewellers and encouraging a rise in gold smuggling and unofficial imports. The restrictions were gradually removed in 2014 as external pressures eased and concerns over market distortions increased.

A2. FCNR(B) and ECB swap facility mechanics

Estimating the foreign currency non-resident deposit flows

The RBI has reintroduced a concessional FCNR(B) swap window under which banks can swap incremental FCNR(B) deposits with the RBI at a subsidized rate, effectively absorbing the FX hedging cost of around 3%, through September 30 2026. During the 2013 FCNR(B) scheme, banks garnered around \$25bn of deposits, equivalent to around 2.2% of aggregate bank deposits at the time. Applying the same penetration rate to the current deposit base would imply potential inflows of around US\$55-60bn. However, we expect a lower take-up this time. First, around 15-20% of the 2013 inflows likely reflected switching from existing NRE deposits rather than entirely new inflows. Second, depositor economics appear less attractive than in 2013, with US funding or leverage costs currently around 4% compared with close to 1% during the previous scheme. Taking these factors into account, we estimate the FCNR(B) window could attract around \$30-50bn of incremental inflows over the next 3 months, with our baseline of around \$40bn.

Estimating the potential External commercial borrowing (ECB) flows

The RBI has introduced a concessional forex swap rate of 1.5% (vs. the market prevailing rate of around 3%) for quasi-sovereign borrowers to raise USD funding through December 31, 2026. To estimate the potential impact on ECB inflows, we examine the two most recent episodes in which offshore borrowing costs were around 0.5-1.0pp cheaper than domestic funding costs—during 2013 and 2021 (when dollar rates were low). In both instances, incremental ECB inflows increased by around \$10bn over the subsequent four quarters. Based on these historical precedents and the current funding differential of around 0.8pp (including the RBI concession forex swap rate of 1.5%) (Exhibit 9), we estimate the latest measure could generate around \$5-15bn of additional ECB inflows over the next year.

Exhibit 9: The RBI concessional swap for ECB borrowings for quasi-sovereigns has effectively lowered dollar borrowing costs

ECB borrowing mechanics	
US 5Y SOFR (%)	3.9
+ PSU USD credit spread (Assumption) (%)	1.2
USD 5Y borrowing cost (%)	5.1
+ RBI concessional swap (%)	1.5
All-in hedged INR cost (including RBI concessional swap) (%)	6.6
Domestic PSU 5Y INR borrowing cost	7.4
Net offshore funding differential vs domestic borrowing cost (with RBI concession) (%)	-0.8

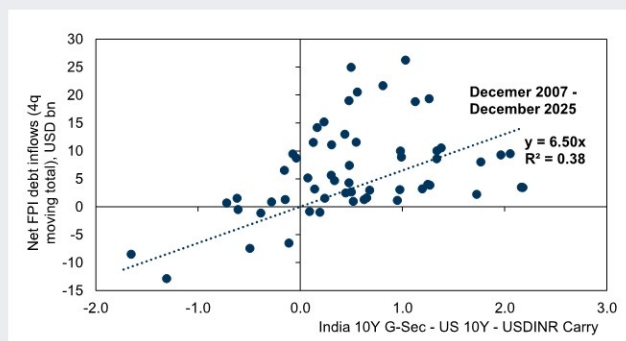
Source: Goldman Sachs Global Investment Research

A3. Estimating the incremental FPI debt inflows from the announced tax changes

The RBI has expanded the Fully Accessible Route (FAR) to include 15Y/30Y/40Y G-Secs, and the government has exempted foreign investors from tax on interest income and long-term capital gains on G-Secs which were around 20% and 12.5% respectively.

To estimate the impact on debt inflows, we examine the historical relationship between FPI debt flows and the India-US 10Y yield differential adjusted for one-year hedging costs ([Exhibit 10](#)). Historically, every 100bp increase in the hedged yield differential has been associated with around \$6.5bn of additional FPI debt inflows. We estimate that the recent tax changes increase post-tax returns for foreign investors by around 1.4pp, implying potential incremental debt inflows of around \$10bn over the next 12 months.

Exhibit 10: FPI debt inflows have been closely associated with India - US 10Y yield differentials



Source: Bloomberg, Goldman Sachs Global Investment Research

A4. Balance of Payments forecast

Exhibit 11: We now expect current account deficit at 1.3% of GDP...

Amount (\$ bn)	2025	2026F	2027
Current Account	-19	-49	-46
(as % of GDP)	-0.5	-1.3	-1.1
Goods Trade Balance	-313	-351	-363
Goods Exports	449	477	489
Oil Exports	56	69	66
Non-Oil Exports	389	407	423
Goods Imports	763	828	852
Oil Imports	180	220	208
Gold Imports	59	56	63
Non-Oil Non-Gold Imports	516	551	581
Services Trade Balance	210	221	243
Services Exports	412	438	483
Services Imports	203	217	240
Primary Income	-49	-58	-69
Secondary Income	134	138	143

Source: Goldman Sachs Global Investment Research

Exhibit 12: ...and a balance of payments surplus of 0.6% of GDP in CY26

Amount (\$ bn)	2025	2026F	2027
Current Account	-19	-49	-46
(as % of GDP)	-0.5	-1.3	-1.1
Goods Trade Balance	-313	-351	-363
Services Trade Balance	210	221	243
Primary Income	-49	-58	-69
Secondary Income	134	138	143
Capital Account	-3	72	58
as (% of GDP)	-0.1	1.8	1.3
Foreign direct investment	3	10	8
Foreign portfolio flows	-10	-13	30
Others (incl. Loans, banking capital etc)	4	71	20
Overall BoP deficit / surplus	-21	23	12
(as % of GDP)	-0.6	0.6	0.3

Source: Goldman Sachs Global Investment Research

Disclosure Appendix

Reg AC

We, Arjun Varma, Santanu Sengupta and Andrew Tilton, hereby certify that all of the views expressed in this report accurately reflect our personal views, which have not been influenced by considerations of the firm's business or client relationships.

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